There is no evidence to suggest that the growth and financing of these PVBs have been adversely affected by corporate groups or individuals controlling the banks. Rather, the success of these banks can be attributed to the business acumen and commitment of these corporate houses/individuals.

The relationship of a banker and a borrower is actually the relationship of the financial sector with the real sector. The real sector needs credit and other financial support. The financial sector provides this credit and financial support. The two interests—the real-sector borrower and the financial-sector lender—are constructive but in inherent conflict.

Both parties on the table have to be completely independent to ensure any deal struck is in the best interest of both. Therefore, there is considerable merit in the case that industrial houses are not allowed to be bankers. The equation between the two sides on the table becomes healthier and more professional if the banker is also equally competent to evaluate the risk and reward of lending to the real sector. This competence has to be moulded by real financial interest.

The financial interest of managers does not coincide with the banks' interest in the case of the public sector, but the managers' financial interest in PVBs coincides with the owners' interests.

Thus, there is enormous merit in allowing non-industrial corporate houses, individuals or financial corporate houses and professionals to be granted banking licences preferentially.

Establish Technology or Digital Banks, Including by Converting Payment Banks

Technology has upended payments and banking. IT programmes, conveniently placed on smartphones as apps, allow payments to be made instantly and even credit to be granted almost instantaneously. With deposits also becoming increasingly digital, the core functions of banks